## CASE STUDY

Incorporation of appropriate inventory management system plays an important role in determining the financial health of a manufacturing company. In most of the cases, unjustified inventory of raw materials are kept causing certain loss to the company. Keeping the above in mind, in the present work, a task is undertaken to find out relevant items that need stringent inventory management in one manufacturing company. The inventory of raw materials is classified into seven categories of which four categories of raw materials are found to cover around 70% of the total inventory. Since it is difficult to apply proper inventory control model for each item separately because of its huge variety, it is necessary to find out few significant items using 'Selective Control' method. ABC and FSN analysis along with XYZ analysis are done. The analysis shows the state of the present inventory management. Following the desire of the management, AFX study is also undertaken. Rigorous indent control and consumption control are strongly recommended for items that has maximum financial impact and high demand in production shops.

**Suggestions for the case study:**

1. Inventory is vital to an organisation from financial and operational standpoint. Primarily, it represents a financial investment for any company, and
2. Secondly, it is essential for the provision of goods and services to the customer.
3. Appropriate inventory management is very important to an industry, because of involvement of significant cost regarding raw materials. It was reported that a company may fail due to maintenance of unjustified surplus stocks.
4. Therefore, optimization in inventory management is very important in an organization to regulate its financial. Without proper control, inventory has a tendency to grow beyond economic limits, tie up funds and increase the cost of maintenance or the carrying cost. At the same time, the non-availability involves the cost of stock-outs, re-ordering costs and additional transit costs. Inventory control as an integrated approach is thus essential for determining the time, item(s) and quantity to indent, and amount of stock, so that purchasing and storing costs become minimum without affecting production, distribution, functional effectiveness, etc. Inventory Control Selective control technique is aimed at putting efforts where results are going to be very useful for the management.
5. Different selective control techniques are suitable in different situations. It depends upon the nature of inventories maintained by an organization.

**In general, selective control can be broadly divided into eight types:**

1. ABC (also known as Always Better Control or Pareto's Law),
2. HML (high, medium, low),
3. VED (Vital, Essential, Desirable),
4. SDE (Scarce, Difficult and Easy to obtain),
5. GOLF (Government, Open market, Local and Foreign source),
6. FSN (Fast moving, Slow moving, Non moving),



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